

Notice of the National Commission for Data Protection regarding
Bill No. 8216 on the right of preemption in favor of the
promotion of housing and amending 1° the amended law of December 4, 1967
concerning income tax; 2° the amended law of October 22, 2008 on
the right of emphyteusis and the right of superficies and introducing various
administrative and fiscal measures in favor of the promotion of
housing

Deliberation No. 26/AV11/2024 of May 2, 2024.

1. In accordance with Article 57.1.e) of Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

Article 36.4 of the GDPR states that "[m]ember states consult the supervisory authority in the context of the preparation of a legislative proposal to be adopted by a national parliament, or of a regulatory measure based on such legislative proposal, which relates to processing."

2. By letter dated May 12, 2023, the Minister of Housing invited the National Commission to express its opinion on Bill No. 8216 on the right of preemption in favor of the promotion of housing and amending 1° the amended law of December 4, 1967, concerning income tax; 2° the amended law of October 22, 2008, on the right of emphyteusis and the right of superficies and introducing various administrative and fiscal measures in favor of the promotion of housing (hereinafter referred to as the "bill").

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3. It follows from the explanatory memorandum that, in light of the increase in the number of contentious appeals, the draft law aims to revise the provisions governing the right of legal preemption. Thus, it seeks to ensure legal certainty, transparency, and a balance of all societal interests so that this instrument of housing policy is better accepted.

4. This opinion will limit its observations to the aspects of the draft law relating to the protection of personal data, and more specifically to the provisions of Article 9 that govern the notification to be made by the notary to the preempting authorities. The CNPD notes in this context that draft law no. 82231 contains provisions nearly identical to those of Article 9 of the draft law under review, although it has not been consulted for an opinion on draft law no. 8223.

I. Preliminary Remarks

5. It emerges from the explanatory memorandum of the text under review that the right of legal preemption constitutes an important tool for the implementation of housing policy. It allows the preempting authorities, namely the municipalities and the Housing Fund, to acquire, in preference to any other purchaser, a property with a view to carrying out projects that meet one of the public interest objectives listed in Article 2 of the draft law, such as the creation of affordable housing.

6. Regarding the exercise of the right of preemption, it is the notary's responsibility to inform the

preempting authorities of the existence of a draft deed by providing them with a certain number of pieces of information which, if they relate to an identified or identifiable natural person, constitute personal data. This transmission of personal data by the notary to the preempting authorities constitutes an interference with the right to privacy and the right to the protection of personal data, as enshrined in particular by Articles 20 and 31 of the Constitution as well as Articles 7 and 8 of the Charter of Fundamental Rights of the European Union (hereinafter referred to as the "Charter").

7. However, it should be noted that the rights to respect for private life and to the protection of data are not absolute prerogatives, but must be considered in relation to their function in society and balanced against other fundamental rights. In accordance with Articles 37 of the Constitution and 52.1 of the Charter, limitations may be imposed.

1 Draft law amending the amended law of April 17, 2018, concerning land use planning and amending:
1. The amended law of August 16, 1967, concerning the creation of a major road and communication network and a road fund; 2. The amended law of March 15, 1979, on expropriation for public utility; 3. The amended law of July 19 concerning communal planning and urban development.

2 CJEU, judgment of March 7, 2024, Endemol Shine Finland Oy, C-740/22, ECLI:EU:C:2024:216, paragraph 52.

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regarding draft law no. 8216 relating to the right of preemption in favor of housing promotion and amending 1° the amended law of December 4, 1967, concerning income tax; 2° the amended law of October 22, 2008, on the right of emphyteusis and the right of superficies and introducing various administrative and fiscal measures in favor of housing promotion.

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provided that they are provided for by law and respect the essential content of fundamental rights as well as the principle of proportionality. Under this latter principle, limitations must occur within the strict necessary limits and effectively respond to objectives of general interest or the need to protect the rights and freedoms of others.

Notification to be carried out by the notary to the preemptive powers for the potential exercise of the right of preemption

8. According to Article 9 of the draft law, it is the responsibility of the notary to notify, before the execution of the authentic deed, the preemptive powers of a certain number of information regarding the proposed deed. This information is to be classified as personal data if it relates to an identified or identifiable natural person, which is notably the case if the owner of the property subject to the proposed deed is a natural person. The rules of the GDPR then apply.

9. Under the terms of Article 6.1 of the GDPR, data processing is lawful only if one of the conditions listed therein is met. In this case, the transmission of personal data by the notary to the preemptive powers is necessary for compliance with a legal obligation to which the notary is subject, in accordance with Article 6.1.e) of the GDPR. The processing of personal data by the preemptive powers is, for its part, necessary for the execution of a task carried out in the public interest or in the exercise of public authority vested in the preemptive powers, namely the potential exercise of the right of preemption within the framework of housing policy implementation, in accordance with Article 6.1.e) of the GDPR.

10. Article 6.3 of the GDPR provides a specific constraint related to the lawfulness of data processing necessary for compliance with a legal obligation or for the execution of a task carried out in the public interest or in the exercise of public authority vested in the data controller. It follows from this provision that:

"The basis for the processing referred to in paragraph 1, points e) and e), is defined by:

a) Union law; or

b) the law of the Member State to which the data controller is subject.

The purposes of the processing are defined in this legal basis or, with regard to the processing referred to in paragraph 1, point e), are necessary for the execution of a task carried out in the public interest or in the exercise of public authority vested in the data controller. This legal basis may contain specific provisions to adapt the application of the CNPD.

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****1. General Conditions****

In accordance with the provisions of this regulation, among others: the general conditions governing the lawfulness of processing by the data controller; the types of data subject to processing; the data subjects; the entities to whom personal data may be communicated and the purposes for which they may be communicated; the limitation of purposes; the retention periods; and the operations and procedures of processing, including measures aimed at ensuring lawful and fair processing, such as those provided for in other specific processing situations as outlined in Chapter IX. Union law or the law of the Member States serves a public interest objective and is proportionate to the legitimate objective pursued.

Recital (41) of the GDPR further specifies that this legislative measure should be clear and precise, and its application should be foreseeable for litigants, in accordance with the case law of the Court of Justice of the European Union and the European Court of Human Rights.

****2. Electronic Transmission of Personal Data****

The CNPD positively notes that the draft law provides a legal basis for data processing carried out under the text under review. Furthermore, the instrument of the right of preemption appears to serve a public interest objective, namely the creation of affordable housing, and is proportionate to this legitimate objective pursued. However, the National Commission believes that certain provisions of the draft law lack precision.

12. While the currently applicable law provides that the notification to be made by the notary to the preempting authorities is done by postal means, and more specifically by registered mail, Article 9 of the draft law states that the notification will henceforth be carried out electronically and that a transmission acknowledgment will be generated automatically.

13. It is regrettable that neither the provisions of the draft text nor the commentary on the articles specify how this electronic transmission of data will take place. Is it foreseen that this transmission will be done by simple email or by creating a platform intended to allow the notary to transmit the necessary information to the preempting authorities? What will be the functioning of such a platform? Who will be responsible for operating it, and who will be considered the data controller? Questions of accountability also arise in this context.

****5. References****

V. in this sense M. Besch, Norms and Legislation in Luxembourg Public Law, Promoculture Larcier, 2019, n°619. V. among others European Court of Human Rights, judgment of December 4, 2015, Zakharov v. Russia, §§ 228 to 229; European Court of Human Rights, judgment of April 24, 2018,

Benedik v. Slovenia, §§ 122 to 125.

****6. Additional Notes****

Cf. points 5 to 7 of this opinion.

****7. Legal Framework****

Art. 8 of the amended law of October 22, 2008, on the right of emphyteusis and the right of superficies and introducing various administrative and fiscal measures in favor of housing promotion.

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****Data Protection Authority Opinion****

****1. Computer Security.**** The CNPD invites the authors to provide the necessary clarifications regarding the draft law.

****2. Personal Data Subject to Notification****

14. It follows from Article 9, paragraph 1, of the draft law that the notary transmits a copy of the compromise or draft deed to the preemptive authorities. Furthermore, paragraph 3 states that the notary must ensure that at least the information listed therein is communicated, such as the identity and address of the owner.

15. The National Commission wishes to remind the importance of the principle of data minimization enshrined in Article 5.1.e) of the GDPR, according to which personal data must be adequate, relevant, and limited to what is necessary in relation to the purposes for which they are processed. This principle is linked to the principle of proportionality under which limitations on the right to personal data protection must be made within the strict necessary limits. In this regard, the CNPD questions whether it is really necessary to transmit a copy of the entire compromise or draft deed to the preemptive authorities. Indeed, these documents may contain stipulations that are not relevant to the decision to be made by the preemptive authorities, such that the transmission of such information may contravene the principles of data minimization and proportionality.

16. Furthermore, Article 9, paragraph 3, of the draft law contains only an exemplary enumeration (“at least”) of the information to be transmitted by the notary to the preemptive authorities. The National Commission believes that, in accordance with Articles 31 and 37 of the Constitution, the data that the notary transmits to the preemptive authorities must be exhaustively stated at the level of the law. The National Commission therefore recommends disregarding the terms “at least” and specifying precisely and exhaustively the data to be transmitted.

****3. Retention Period****

17. The CNPD notes that the text under review does not contain a provision setting the retention period for the processed data. It wishes to remind that data collected in the context of a legal mission should only be retained as long as necessary for the execution of the mission or the legal obligation for which they were collected. Thus, if the authors decide to follow the National Commission's recommendation to further clarify the operation of the transmission mode by which the notary will carry out the notifications, it may be useful to include a provision specifying the retention period of the data transmitted to the preemptive authorities.

Thus adopted in Belvaux on May 2, 2024.

****The National Commission for Data Protection****

Tine A. Larsen
President

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